CONTRACT OF LEASE

This Contract of Lease (the "Contract") is made and entered into this _____ at _____, Philippines, by and between:

MEGAWORLD CORPORATION, a corporation duly organized and existing under and by virtue of Philippine laws with business and postal address at the 30th Floor, Alliance Global Tower, 36th Street corner 11th Avenue, Uptown Bonifacio, Taguig City, represented herein by its Assistant Vice President for Accounts Receivable Rental Group, **EMERLE ANNE P. MAGSINO** (hereinafter referred to as "**LESSOR**")

- and -

FAMILY TIMES FOODS, INC., a corporation duly organized and existing under and by virtue of Philippine laws with registered business address at 2981 Mahogany Street, United Parañaque Subdivision 11, Barangay San Martin De Porres, Parañaque City, represented herein by its Human Resources Manager and Legal Counsel, **ADRIAN P. DIMACALI** (hereinafter referred to as the "**LESSEE**")

The LESSOR and LESSEE are herein collectively referred to as the "**Parties**"

W I T N E S S E T H:

For and in consideration of the payment of rents and other sums due hereunder, and the faithful compliance with all the conditions and covenants hereinafter contained, the LESSOR hereby leases, lets, and demises unto LESSEE, and the latter does hereby accept under lease, certain floor space constituting the Leased Premises, which are more particularly described in the Essential Provisions attached as **Annex "A"** hereof and shown in the location plan attached as **Annex "B"** hereof, both of which are made integral parts of this Contract;

This lease is granted by LESSOR and accepted by LESSEE subject to the following terms, covenants, conditions and restrictions.

ARTICLE 1 – DEFINITIONS

1.1 **DEFINITIONS** - As used herein, the following terms shall have the following respective meanings:

"Building" shall refer to the improvement identified in **Annex "A"** where the Leased Premises are located.

"Building Rules" shall refer to the rules and regulations which may from time to time be adopted by LESSOR, Association or Property Manager regarding the occupancy of the Leased Premises and/or Building as well as the management, operation or maintenance of the Building.

"**Common Areas"** shall refer to all areas and facilities in the Building and the estate where it is located which have been designated by LESSOR and/or the Property Manager for the general use and convenience of all lessees, occupants and users and their respective employees, customers and guests.

"**Common Area Charges"** shall refer to LESSEE's monthly share in all costs and expenses incurred or to be incurred in the operation, management, repair and maintenance of the Common Areas, excluding those portions of the Common Areas which are reserved for the exclusive use of persons other than LESSEE.

"Force Majeure" shall mean an act, event or cause which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of LESSOR or LESSEE. This term includes but is not limited to rebellion, insurrection, labor unrest, lockout, work stoppage, strikes on a citywide or nationwide scale, flood, typhoon, earthquake, robbery, theft, terrorism, or any other crime.

"Gross Sales" shall mean the total amount of all sales and other revenues from all business conducted in upon or from the Leased Premises, including business conducted by LESSEE or any of its employees, agents, licensees or concessionaires, and whether such sales be evidenced by cash, check, credit card, charge account, exchange or otherwise, without regard as to whether or not collection is made of the amount for which credit is given, and shall include, without limitation, the total gross amount received or accrued for the sale of food, beverages, goods, wares and merchandise, the amounts received or accrued for services performed on, at or from the Leased Premises for equipment and other rentals and the amounts of all fees and similar payments received or accrued for business conducted in, upon or from the Leased Premises, together with the amounts of all gift certificates or orders taken or received at the Leased Premises, whether or not such gift certificates or orders be filled or taken from the Leased Premises or elsewhere and whether such sales be made by means of merchandising or other vending devices or machines and any such other device in or upon the Leased Premises. Any transaction on installment basis, including without limitation any lay away sale, conditional sale or in any other manner involving the extension of credit or deferral of payment shall be treated as a sale for the full purchase price at the time the transaction is effected, irrespective of the time when payment is made or when ownership passes to the purchaser. No deduction shall be allowed for uncollected amounts or uncollected installment or credit account. If any business of any department or other division of LESSEE be conducted by any person, firm or corporation other than LESSEE, then there shall be included within the term "Gross Sales" all of the gross sales of such department or division, with the same effect as though such business had been conducted by LESSEE itself. Gross Sales shall include, further, the sale of any product or service advertised by LESSEE as being available at the Leased Premises, whether made at or outside the Leased Premises, and the sale made by any "outside" or traveling sales personnel of LESSEE, including jobbers and independent contractors when such sales personnel are supervised by LESSEE and report their activities and sales to LESSEE or any employee of LESSEE at the Leased Premises. Unless approved by LESSOR in writing, Gross Sales shall not be reduced on account of coupons or other services, nor shall there be any deduction on account of any fee or service charge paid or discount extended to any credit card company or credit-extending agency.

There shall, however, be deducted from Gross Sales, the lesser of the sales price or credit allowed in lieu of merchandise returned by customers for exchange or refund, provided that the sales price of the merchandise delivered to the customer in any exchange shall be included in Gross Sales. Gross Sales shall not include the amount of any value added tax

levied upon LESSEE's customers, provided that the amounts thereof are added to the selling price of merchandise or integrated therein and actually remitted and paid by LESSEE to such government authority. LESSEE's sales reports to LESSOR as required by Article 4.3 shall specifically set out the nature and the amount of any such tax. No income or similar tax based upon income or profits as such shall be deducted from Gross Sales in any event whatsoever.

"Leasable Area" shall refer to the total floor area leased to LESSEE, computed by measuring from the outside finish of the permanent exterior building walls, and from the sides facing the Common Areas, and to the center of partitions that separate such floor space from adjoining leasable areas, without any deduction for columns, projections or other structural elements common to the Building, and an area equal to a pro-rate share in the limited Common Areas in the floor where the premises is located.

"Leased Premises" shall refer to the floor space specifically described in **Annex "A"**.

ARTICLE 2 - LEASE TERM AND DELIVERY OF LEASED PREMISES

2.1 **TERM** - This lease shall be for a term specified in **Annex "A"**. Unless otherwise renewed under the conditions established hereunder, this lease shall not be deemed extended beyond the date specified herein for its termination for any reason whatsoever. There shall be no tacit renewal of this Contract, notwithstanding the continuation of LESSEE in the possession of the Leased Premises for any length of time after expiration of the term of this lease.

This lease may be renewed upon the written agreement of LESSOR and LESSEE and under such terms and conditions as may be acceptable to them; provided, that should LESSOR and LESSEE fail to agree on the terms and conditions under which this lease shall be renewed on or before ninety (90) calendar days prior to the expiry of this lease, then this lease shall automatically terminate and LESSOR shall be entitled to the rights granted under this Contract by reason of such termination.

2.2 **DELIVERY OF LEASED PREMISES** - LESSOR shall deliver to LESSEE physical possession of the Leased Premises in "as is" condition on or before the date mutually agreed upon by the parties.

ARTICLE 3 - USE OF THE LEASED PREMISES

3.1 **USE** - The Leased Premises shall be used exclusively for the purpose and in the manner stated in Annex "A". LESSEE shall not divert the Leased Premises to other uses, without the prior written consent of LESSOR. LESSEE may, however, use part of the Leased Premises, but not to exceed ten percent (10%) of the total area of the Leased Premises, for administrative purposes such as office use, as may from time to time be reasonably required by LESSEE's business in the Leased Premises. If, at any time during the term of this lease and without the previous written consent of LESSOR, the Leased Premises are used for purposes other than what has been agreed upon, LESSOR shall have the right to (a) cancel this Contract in accordance with Article 12 hereof; (b) increase the rent; or (c) compel LESSEE to stop any unauthorized activity therein and demand corresponding payment.

3.2 **INCREASE IN INSURABLE RISK** - LESSEE shall not use the Leased Premises, Building or any part thereof in any manner which will cause insurance policies of the Leased Premises or Building against loss or damage caused by fire, storm, typhoon, or other insurable perils and/or loss or claims by third parties to be rendered void and voidable, or whereby the premium due thereon may be increased. Thus, except for those objects and/or equipment reasonably necessary for the operation of LESSEE's business in the Leased Premises, LESSEE shall not bring into, store or install within the Leased Premises anything of highly flammable nature, explosive materials or any apparatus, machinery or equipment which may expose the Leased Premises to fire or increase the fire hazard. If, as a result of any act, deed, matter or thing done or permitted by LESSEE, the premium on any such insurance policy is increased, LESSOR shall be entitled, without prejudice to any other remedy hereunder, to recover from LESSEE the amount of such increase and shall be indemnified by LESSEE against all claims, losses, damages or claims sustained or made against LESSOR by any person as a result of a breach of this Article.

3.3 **MAINTENANCE OF LEASED PREMISES** - LESSEE shall well and sufficiently preserve, repair and maintain in good, clean tenantable condition, at its own cost, the interiors of the Leased Premises, including the flooring, interior plaster or other finishes, doors, windows, cables, conduits, wirings, sockets, electrical installations, and plumbing fixtures found in or about the Leased Premises. For this purpose, LESSEE may, if necessary, be required to regularly renovate the Leased Premises. The Leased Premises and all additions and installations supplied by LESSOR shall be kept in good clean working condition and repair. LESSEE shall keep drains, pipes, sanitary or plumbing apparatus used exclusively by LESSEE, its employees, guests, clients or customers in good clean and tenantable repair condition and in accordance with the requirements imposed by regulations of governmental authorities and LESSOR. LESSEE shall pay LESSOR for all the costs in cleaning, repairing or replacing any of the same when found to be blocked, stopped or otherwise unmaintained in the prescribed condition above. LESSEE shall take all such steps and precautions at its own cost to prevent the Leased Premises from becoming infested with termites, rats, mice, cockroaches or other pests or vermin. Should LESSEE fail to maintain the Leased Premises properly such that the same is infested with pests, LESSOR may employ additional pest control services on the Leased Premises, the cost of which shall be borne exclusively by LESSEE.

LESSEE shall permit LESSOR or the authorized representatives of public utility companies, at reasonable times, after due prior written notice to LESSEE, to enter the Leased Premises for the purpose of undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by LESSEE with the other lessees of the Building, inspecting the condition of the Leased Premises or for determining the LESSEE's compliance with this Contract. LESSOR shall be entitled without incurring any liability whatsoever, in the event of an emergency, to enter the Leased Premises to undertake the necessary repairs or conduct the inspection thereof or otherwise perform any act necessary and desirable for the protection of the Leased Premises and the Building.

3.4 **NUISANCES** - LESSEE shall not permit or suffer to be permitted any music or noise to emanate from the Leased Premises which in the reasonable opinion of LESSOR may constitute a nuisance or annoyance or give cause for reasonable complaint from LESSOR or other lessees. Thus, LESSEE shall not install any loudspeaker or other device on the roof or exterior walls of the Building or on any part of the Leased Premises. Neither shall it permit any odor or noxious smell which in the reasonable opinion of LESSOR is offensive or unusual to emanate from the Leased Premises, nor keep or suffer to be kept any animals or pets inside the Leased Premises. In the event that LESSEE violates any of the prohibitions herein stated, it shall be liable for any and all damages which may be caused LESSOR, other tenants and occupants within the Building, including their employees, agents, representatives, and guests. In addition, LESSOR shall have the right to cancel

this Contract without need of prior notice to LESSEE.

3.5 **SIGNS AND ADVERTISING MEDIA** - LESSEE shall submit a complete set of signage plans and details in accordance with the guidelines issued by the LESSOR and/or its Signage Committee. LESSEE shall not affix, inscribe or paint, or cause the affixing, inscribing or painting of, any notice, sign or other advertising media on any part of the Leased Premises or Building, except with prior written permission of the LESSOR and/or its Signage Committee. If so allowed by LESSOR, the sign or media shall be in the size and style as it has solely determined. LESSOR shall have the right to require LESSEE to remove any unauthorized signage or such sign which LESSOR may reasonably consider to be inappropriate. LESSOR shall have the authority, without incurring any liability, to enter the Leased Premises and/or Building, remove any signs it may consider inappropriate, and charge to LESSEE the entire cost of such removal and/or restoration of the Leased Premises or Building to its original condition.

LESSEE shall use and include in its advertised business address the name and address of the Building. Such business address shall be used in all communications and correspondences by the LESSEE. LESSEE's trade name as set out in **Annex "A"** shall not be changed without LESSOR's prior written consent. LESSEE agrees, however, that LESSOR's name or the name of the Building shall not be used in a confusing or detrimental manner and that upon termination of this lease, LESSEE shall cease to use the name of the Building in any manner, whether in connection with LESSEE's own business or trade name or otherwise.

3.6 **CONTRACTOR'S ALL RISK INSURANCE** - Should LESSEE decide to conduct construction or renovation works on the Leased Premises, LESSEE shall cause its contractor, prior to the commencement of any construction or renovation work, to obtain a Contractor's All Risk (CAR) Insurance from a reputable insurance company accredited by LESSOR to cover the contract works, owner-supplied materials, the Leased Premises and properties surrounding the Leased Premises; liability to persons due to bodily injury and property damage in the course of construction or renovation arising out of or in connection with the fault or negligence of LESSEE, its contractors, suppliers or workers undertaking such construction or renovation or the failure of LESSEE to comply with construction guidelines for the Building. The LESSEE shall also indemnify and so hold the LESSOR free and harmless against any and all claims or liabilities in relation to this Article.

3.7 **CONSTRUCTION CASH BOND AND CHARGES** – Prior to the commencement of any construction or renovation work on the Leased Premises, LESSEE shall submit to LESSOR a construction cash bond equivalent to an amount specified in **Annex "A"** to answer and stand as security for the immediate repair or reconstruction of any damage caused to the property of LESSOR, injury to any person and/or damage to any property. The Construction Cash Bond net of any deductions shall be refunded upon issuance of Final Clearance to Operate by the LESSOR and receipt of written request from the LESSEE. LESSEE shall also be required to pay to LESSOR certain construction charges at the rates and manner specified in **Annex "A".**

3.8 **ALTERATIONS, ADDITIONS OR IMPROVEMENTS** - LESSEE shall not make any alteration, addition, or improvement within the Leased Premises or in any of the Common Areas or effect the installation of any fixtures required by the conduct of its business, without the prior written consent of LESSOR. All such alterations, additions, or improvements shall be carried out subject to such terms and conditions as may be imposed by LESSOR. All authorized alterations, additions or improvements made by LESSEE shall be done in good workmanlike fashion and at LESSEE's cost. LESSOR reserves the right to require LESSEE to use LESSOR's building contractor for any renovation of the Leased Premises when, in LESSOR's opinion, the proposed renovation may adversely affect any of the warranties or guarantees given by any of the contractors of the Building.

All building architectural, engineering, conceptual plans and specifications for any alteration, addition or improvement shall be submitted to LESSOR for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement. The approval by LESSOR of such alterations, additions or improvements shall in no event relieve LESSEE from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements, or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. LESSEE shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same. For purposes hereof, LESSEE shall submit to LESSOR the CAR Insurance and the construction bond required by Articles 3.6 and 3.7, respectively, prior to the commencement of any construction or renovation of the Leased Premises or the Common Areas for the purpose of effecting any alteration, addition, improvement or installation.

All such alterations, additions or fixed improvements made by LESSEE, as well as any alteration, improvement or installation placed in or on the Leased Premises by LESSOR, except movable furniture and fixtures placed in the Leased Premises at the expense of LESSEE and removable without defacing or injuring any ceiling floor, wall or any portion of the Building or the Leased Premises, shall become the property of LESSOR at the expiry or termination of this lease, and shall remain upon and be surrendered with the Leased Premises as part thereof without compensation for their value to LESSEE. In the event that LESSEE fails to comply with the provisions of this Article, LESSOR shall be entitled to apply the total cost of damages incurred by reason of such violation against the amount of the Security Deposit, without prejudice to the right of LESSOR to recover any deficiency from LESSEE.

Should LESSOR decide that it does not want any or all of the alterations, additions or improvements, it shall so advise LESSEE, who hereby undertakes to remove the same from the Leased Premises within thirty (30) days from said advice, at LESSEE's sole cost. Any such removal shall be undertaken without defacing the Leased Premises and/or Building. In the event that damage or injury is caused to the Leased Premises and/or Building as a result of such removal, LESSEE undertakes to immediately repair any such damage or injury caused to the Leased Premises and/or Building.

3.9 **LOAD LIMITATIONS** - LESSEE shall not bring, install, place or suspend any load, apparatus, equipment, article or thing into or in the Leased Premises in excess or in violation of the maximum weight and permitted locations of certain equipment, apparatus, article or thing as determined by LESSOR for the floor of the Building where the Leased Premises are located. For this purpose, LESSEE shall obtain the prior written approval of LESSOR for the entry into and/or removal from the Leased Premises, of any load or apparatus, equipment or article. LESSEE shall also comply with the requirements imposed by LESSOR for keeping such equipment, load or apparatus within the Leased Premises, including the use of supports of such dimension and material, to distribute the weight of such equipment, load or apparatus as LESSOR may deem necessary.

Neither shall LESSEE install, without the prior written approval of LESSOR, any air-conditioning equipment in the Leased Premises other than that provided or approved by LESSOR, nor any other plant, equipment, apparatus or machinery which requires additional wiring, or which consumes electricity not metered through the electric meter from which LESSEE's consumption of electricity is calculated. LESSEE shall not permit, suffer or cause any act to be done whereby the maximum allowable voltage capacity of the Leased Premises shall be exceeded.

3.10. **EXCLUSIVE RIGHTS OF LESSOR** - The grant of this lease shall, however, not prejudice or adversely affect the following exclusive and absolute rights of LESSOR:

(a) to provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or may hereafter be installed in, on or under the Leased Premises, serving or capable of serving the Building, or the Common Areas or any adjoining property, and to enter the Leased Premises to inspect, repair or maintain such conduits, pipes, wires, cables or ducts at least forty-eight (48) hours after the issuance of a prior written notice to LESSEE, except in cases of emergency when such notice shall not be required. Any such activity shall be effected in a manner as to cause the least inconvenience to LESSEE, its employees and/or guests;

(b) to erect, alter or consent to the erection or alteration of any building located on any adjoining or neighboring property, notwithstanding that such erection or alteration may diminish the access of light, view or air enjoyed by the Leased Premises, or to deal with such neighboring or adjoining property as LESSOR shall see fit;

(c) to enjoy subjacent and lateral support from the Leased Premises for the remainder of the Building;

(d) to name or re-name the Building with any such style or name and, from time to time, to change, alter, substitute or abandon any such name, without compensation to LESSEE or the other tenants of the Building; provided, that LESSOR shall give LESSEE not less than two (2) months' prior written notice of LESSOR's intention to do so;

(e) to improve, change, alter, extend, reduce, add or otherwise deal in any manner with the arrangement, design or decoration of the Common Areas; provided, that in exercising such right, LESSOR will endeavor to cause as little inconvenience to LESSEE as practicable under the circumstances;

(f) to make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Building, operation and use of the Common Areas, the Parking Areas, sidewalks, driveways, entrances or exits in the Building;

(g) to appoint, ratify or confirm any person or firm (the "Property Manager") to manage and administer the Building and their respective Common Areas and to delegate to such Property Manager the power to adopt rules and regulations as the latter may deem necessary for the management, maintenance or operation of the Building and their respective Common Areas, and to implement the rules and regulations adopted by LESSOR pursuant to Article 3.10(f); and for this purpose, any notice, act, decision, forbearance or consent required to be given or done hereunder shall be fully and effectively done or given if expressed to, by or on behalf of the relevant Property Manager; and

(h) to undertake the improvement of the Building or the Common Areas or any development work in an adjoining lot, within the vicinity of the Building, in such a manner as to cause the least inconvenience to LESSEE, its employees, guests, customers and clients; and for this purpose, LESSEE shall not hold LESSOR liable for any resulting disturbance or discomfort arising out of such development work or improvement.

ARTICLE 4 - LESSEE'S OPERATIONS IN THE LEASED PREMISES

4.1 **COMMENCEMENT OF OPERATIONS** - LESSEE binds itself to commence business operations in the Leased Premises within the period specified in **Annex "A"**. LESSEE shall be required to place an advertisement in at least one leading newspaper of general circulation to announce the opening of its business in the Leased Premises and shall hold two (2) public relations events to sustain marketing efforts.

4.2 **CONDUCT OF BUSINESS** - LESSEE shall at all times, during the term of this lease, conduct its business in accordance, and shall at all times comply, with law and regulations, both national and local, and shall conduct such business in a reputable manner and in accordance with the business and operating standards of LESSOR. LESSEE shall on its own, and without any expense, aid or assistance by LESSOR, obtain all permits and licenses as may be required by national or local government authorities in connection with its business and the use and occupancy of the Leased Premises, and the copies thereof and thereafter copies of renewal shall, without necessity of demand, be furnished to LESSOR not later than fifteen (15) calendar days from the start of LESSEE's business and every renewal date required by law, ordinance or regulation. LESSEE shall likewise comply with all tax rules and regulations. It is understood that LESSEE shall be solely responsible for the operation of its business in the Leased Premises during the entire term of this lease. Such operation shall be undertaken with utmost due diligence and care, and employing best business practices to ensure maximum efficiency. LESSEE shall hold free and harmless the LESSOR, its affiliates and subsidiaries, successors-in-interests and assigns, stockholders, directors, officers, employees and agents (the "LESSOR Related Parties") from, and shall indemnify them against, any and all actions, sums of money, liabilities, damages, demands, claims, losses or expenses, including assessments, penalties, fees, costs, taxes, levy, and other charges by the appropriate government agencies or any third person, which the LESSOR and LESSOR Related Parties, incur, sustain, are subjected to, or required to pay, arising from or in connection with the LESSEE's use and occupancy of the Leased Premises as well as in the LESSEE's conduct of its business.

4.3. **RECORD OF SALES** – LESSEE shall adopt a computerized point of sales and accounting system in the recording of LESSEE's sales transactions in the Leased Premises, which shall be approved by LESSOR prior to installation and use. LESSEE shall ensure that such system is capable of efficiently and accurately recording all sales transactions in the Leased Premises, allows retrieval of sales invoices containing chronological transaction numbers and such other data or information required by LESSOR to enable the latter to effectively audit LESSEE's sales transactions in the Leased Premises.

In the event that LESSOR adopts a particular electronic recording and processing system for purposes of monitoring the sales and operations of the tenants in the Building, LESSEE agrees that it shall use or install in the Leased Premises, at LESSEE's cost, such equipment as to enable LESSEE's sales and accounting system to be electronically connected to LESSOR's electronic recording and system and that it shall adopt such recording and documentation methods and procedures as shall be compatible with LESSOR's system.

To facilitate liquidation of rents, LESSEE shall submit to LESSOR within the first five (5) days of every calendar month, such reports showing its Gross Sales and services for the preceding calendar month. LESSEE shall likewise provide for adequate internal controls in its accounting system subject to the approval of LESSOR. LESSEE shall allow LESSOR or its authorized agents to have access to its electronic sales and accounting system and/or to inspect all sales and ledger accounts and supporting papers which LESSOR may deem necessary to accurately determine LESSEE's income from sales and other income of whatever nature derived from the Leased Premises per month, provided that such inspection shall be conducted in such manner as will not unduly interrupt the business operations of LESSEE. In case LESSEE has other branches, it shall keep separate records of its sales derived from the Leased Premises.

LESSEE shall keep all sales invoices, sales summaries, official reports, books of accounts, such as but not limited to the general ledger, cash receipt books and sales books, supporting papers and other business records, in written or electronic form, which LESSOR or its authorized representatives may deem reasonably necessary to determine LESSEE's Gross Sales. LESSEE shall preserve the same in the Leased Premises for audit purposes for a period of five (5) years. LESSEE shall allow the authorized agents of LESSOR to enter into any part of the Leased Premises at all reasonable hours of the day during the term of this Contract for the purpose of examining all books of accounts, as well as supporting sales invoices and other pertinent records, in written or electronic form, that are reasonably necessary to determine accurately the basis of rentals herein agreed upon, with the least inconvenience and/or disturbance to LESSEE or its operations; *provided,* that any record or information thus obtained shall be considered extremely confidential and shall not at any time be disclosed to third parties.

LESSEE agrees to pay immediately upon reasonable demand any and all assessments arising from LESSOR's examination of its records. Payment shall be made through an Automatic Debit Arrangement to be entered into by LESSEE with any one of the preferred bank partners of the LESSOR.

ARTICLE 5 - RENT AND OTHER PAYMENTS

5.1 **RENT** - The commencement of the obligation of LESSEE to pay rent, the amount of rent due from LESSEE and the manner of payment of rent shall be governed by the provisions of **Annex "A"**. The rent due from LESSEE shall automatically be subject to annual escalation at the rate specified in **Annex "A".**

It is an essential consideration of this Contract that all matters pertaining to rent and rental payments by LESSEE to LESSOR shall be held in the strictest confidence. LESSEE explicitly agrees that it shall not include in its invoices to customers any mention of the rent payable by LESSEE to LESSOR.

5.2 **SECURITY DEPOSIT** - Upon execution of this Contract, LESSEE shall provide LESSOR with a Security Deposit in the amount and manner specified in **Annex "A"**, to answer and stand as security for the proper and due performance of all of LESSEE's obligations under this Contract. The existence of such security, however, does not and shall not excuse LESSEE's non-payment of rent or of any other sum required to be paid hereunder on the due date specified therefor.

The Security Deposit shall be increased correspondingly as and when the rent is automatically increased annually. The additional Security Deposit shall be remitted to LESSOR thirty (30) days before the onset of a new year under the Lease Term. The increases to the Security Deposit shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of the LESSOR. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by the LESSOR. The ADA may, at the option of the LESSOR, be considered as a mode of payment with respect to any portion of the initial Security Deposit which remains outstanding after its due date.

The Security Deposit or any balance thereof, less whatever amounts LESSEE may owe LESSOR or which LESSOR may apply against the Security Deposit as authorized hereunder, shall be returned to LESSEE without interest within ninety (90) days after the expiration of the term of this lease provided that LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to LESSOR and complied with the requirements for the return of such Security Deposit. LESSOR shall, notwithstanding the delivery of the Leased Premises to LESSOR by LESSEE, have the right to withhold all or any part of the Security Deposit until LESSOR shall have received statements of account from utility companies supplying telephone, water, electric power or public utility services to the Leased Premises, covering the period ending on the date LESSEE shall have completely vacated and delivered the Leased Premises to LESSOR. The amount withheld shall answer for the payment of any unpaid utility and service bills. Any remaining amount shall be returned to LESSEE without interest. Likewise, should LESSEE have any other obligation which remains due and unpaid under any other contract with LESSOR, LESSOR shall have the right to automatically apply the amount of these unpaid obligations against the Security Deposit in settlement thereof, upon the termination of the lease.

The Security Deposit shall, however, be forfeited in favor of LESSOR upon the occurrence of any of the following events: (i) LESSEE fails to occupy the Leased Premises for the full term of the lease or any extension or renewal thereof, or (ii) this Contract is terminated by LESSEE for whatever reason prior to the expiry date of its term, other than those reasons indicated in Articles 11.2, 11.3, and 13.1; or (iii) failure to commence business operations in the Leased Premises within the period specified in **Annex "A"**; or (iv) failure to timely submit plans and specifications for the alteration or addition to or improvement of the Leased Premises; or (v) upon the occurrence of any event of default or termination as provided in Article 12.1. Upon the occurrence of any of these events, the Security Deposit (or the balance thereof which should otherwise have been returned to LESSEE had such termination not have occurred) shall be forfeited in favor of LESSOR, in addition to whatever damages which may be due by virtue of the termination of this Contract. In the event, however, that this lease is terminated at the instance of LESSOR without any fault or negligence of LESSEE but with its conformity or at the instance of LESSEE pursuant to Articles 11.2, 11.3, and 13.1, the Security Deposit or any balance thereof shall be returned to LESSEE, net of the amounts which may be deducted therefrom pursuant to this Article.

5.3 **ADVANCE RENTAL** – Upon execution of this Contract, LESSEE shall pay to LESSOR Advance Rental in the amount and manner specified in **Annex "A"**, which amount shall be applied against the rent for the period specified in **Annex "A"**.

5.4 **TAXES** - LESSOR shall be responsible for the payment of the current rate of real property taxes on the Leased Premises. LESSEE shall be liable for any increase in the real property tax due to improvements introduced by LESSEE. In the event that, at any time during the term or renewal of this lease, the real property tax on the Building or the land on which it stands shall be increased or there shall be levied any new or additional assessment or charge on the Building

or the land on which it stands, then the rental in force on the date the real property tax, assessment or charge is increased or imposed shall likewise be increased in direct proportion to the increase in or additional real property taxes, assessments or charges.

Other than LESSOR's income taxes or taxes required to be withheld from the rentals due to LESSOR but which shall be credited against LESSOR's income taxes, all taxes accruing by reason of the receipt of rentals by LESSOR, including the Value-Added Tax, if any, Documentary Stamp Tax ("DST"), and all other taxes accruing by reason of the execution of this Contract shall be for the account of LESSEE, including penalties and charges arising from the LESSEE's failure to promptly pay said taxes.

The LESSEE shall provide the LESSOR with copies of the Documentary Stamp Tax Return as filed with the Bureau of Internal Revenue, and proof of payment of the DST, not later than five (5) days after the statutory deadline for payment of the DST.

5.5 **INTEREST AND PENALTY** - Without prejudice to the exercise by LESSOR of its rights under the penal provisions herein, LESSEE shall pay to LESSOR interest on any amount due under this Contract at the rate of **TWO PERCENT (2%)** per month, or at the maximum prevailing interest rate allowed by law as determined by LESSOR at the time the obligation is due, whichever is higher, to be computed from the date of delinquency until paid in full, plus a penalty of **THREE PERCENT (3%)** per month, to be computed from the date of delinquency until paid in full. These rates shall be subject to review and adjustment by LESSOR yearly on 31 January.

The preceding interest and penalty charges shall apply to any and all arrearages in the amounts to be paid by LESSEE, including, but not limited to, rent, LESSEE's share in Common Area Charges (as hereinafter defined), and the reimbursement of the appropriate realty taxes, if applicable.

In case of cancellation or termination of this Contract due to default or breach of its terms by LESSEE, LESSEE shall pay all attorney's fees, costs and expenses of litigation that may be incurred by LESSOR in enforcing its rights under this Contract, as well as all unpaid rent, fees, charges, assessments and reimbursements, including interests and penalties, to which LESSOR may be entitled.

5.6 **APPLICATION OF PAYMENTS** - Any payment received by LESSOR shall be applied against the statement of account or billing with the earliest date. In the event that the payment of interest, penalty, rent or other charges is covered by one statement of account, then the payment received by LESSOR shall be applied in the payment of obligations stated therein in the following order of priority: (i) first, against the penalty due, (ii) then, against the interest due, (iii) finally, against unpaid rent, security deposit, advance rental, Common Area charges or utility charges. Should the payment received be insufficient to completely settle any outstanding obligation, whether covered in one statement of account or billing, or otherwise, then subsequent payment(s) to be received from LESSEE shall be applied in the payment of such unpaid amount.

5.7 **EXTRAORDINARY INFLATION OR DEVALUATION** - (a) In case extraordinary inflation should supervene during the effectivity of this Contract, the value of the currency at the time of the execution of this Contract shall be the basis of payment of rentals due under this Contract. For purposes of this Contract, it is agreed that "extraordinary inflation" shall occur when the average inflation rate for the last six (6) months (the "Average Inflation Rate") reaches twenty five (25%) as reflected in the NEDA official report. In such event, the rentals shall be adjusted monthly using as bases the Average Inflation Rate and the value of the currency at the time of the execution of this Contract.

(b) On the other hand, in case extraordinary depreciation or devaluation of the currency should supervene during the effectivity of this Contract, the value of the currency at the time of the execution of this Contract shall likewise be the basis of payment of rentals due under this Contract. For purposes of this Contract, it is agreed that "extraordinary depreciation or devaluation" shall mean the diminution to the extent of twenty five percent (25%) of the exchange rate of the Philippine currency vis-à-vis the US Dollar based on the average peso-dollar exchange rate for the last six (6) months as reflected in the records of the Bangko Sentral ng Pilipinas vis-à-vis the prevailing exchange rate as of close of trading hours on the date of execution of this Contract. In such event, the rentals shall be adjusted monthly using as bases the value of the currency and exchange rate at the time of the execution of this Contract.

5.8 **LIEN** – It is agreed that the unpaid rents and charges payable by LESSEE to LESSOR for a period of one (1) year under this Contract shall constitute a preferred lien on all the personal properties of LESSEE found on the Leased Premises in accordance with Article 2241 and 2243 of the Civil Code. For this purpose, LESSOR is hereby authorized to prevent the removal of the said properties from the Leased Premises or demand their return from any possessor should they have been removed without the written consent of LESSOR.

ARTICLE 6 - COMMON AREAS

6.1 **USE OF COMMON AREAS** - During the term of this lease, LESSEE and its respective employees, agents, customers and guests shall have the non-exclusive right to use the Common Areas, in common with other lessees of the Building, as far as the same are necessary for the use or enjoyment of the Leased Premises, subject to any rights, powers and privileges reserved to LESSOR as provided hereunder and to the right of LESSOR to regulate and restrict such use in accordance with the Building Rules.

6.2 **OPERATION OF COMMON AREAS** - During the term of this lease, LESSOR shall operate, manage, and maintain the Common Areas. The manner in which the Common Areas shall be maintained, operated and managed, and the amounts to be spent for such maintenance, operation and management shall be determined at the sole discretion of LESSOR. The use of the Common Areas shall be subject to such reasonable regulations and charges which may be imposed from time to time by LESSOR. LESSOR shall have the right to close, if necessary, all or any portion of such areas, to such extent as may be legally sufficient in the opinion of LESSOR's counsel, to prevent the accrual of rights of any person or of the public therein, or to close temporarily all or any portion of such areas for whatever reason.

6.3 **COMMON AREA CHARGES** - Commencing upon the effectivity of this lease and in addition to the payment of rental and other amounts due hereunder, LESSEE shall pay to LESSOR, on the due date specified in the applicable statement of account, LESSEE's monthly share in all costs and expenses incurred or to be incurred in the operation, management, repair and maintenance of the Common Areas of the Building (the "Common Area Charges"), excluding those portions of the Common Areas which are reserved for the exclusive use of persons other than LESSEE, at such rates as may be determined by LESSOR.

The rate of Common Area Charges shall be correspondingly increased in the event that the utility company or service agency increases the utility/service charges payable in connection with the service or utility provided to the Common Areas of the Building or the Leased Premises, or in the event that the LESSOR increases its charges for the operation, management, repair and maintenance of the Common Areas of the Building. The amount of such increase shall be effective and demandable on or during the month in which the increase in the charges shall have been implemented by the utility company or service agency.

ARTICLE 7 - PUBLIC UTILITIES AND SERVICES

7.1 **UTILITY CHARGES** - All deposits, fees, costs or other charges to be incurred for supplying the Leased Premises with public services or utilities, such as power, water, telephone or telecommunications, whenever applicable, shall be borne by LESSEE and shall be based on the actual consumption or use thereof by the Leased Premises. To the extent applicable, LESSOR may require LESSEE to make payment of such deposits, fees, costs or other charges directly to the company supplying such utilities or services to the Leased Premises or Building. Reimbursement for or payment of deposits, fees, costs or other charges for the use or consumption of utilities for the Leased Premises which are not paid directly to the utility companies during any given month will be payable to LESSOR on the due date specified in the applicable statement of account.

7.2 **DISCONNECTION OF UTILITIES** - In the event that LESSEE fails to pay for the charges or fees incurred in connection with the supply to, consumption and use of public utilities and services in the Leased Premises and/or the Common Areas for an aggregate period of one (1) month, LESSOR shall have the right to disconnect or discontinue the supply thereof for as long as any such charges or fees remain unpaid. This right shall be in addition to its other rights provided for in Article 12.2.

7.3 **NO RESPONSIBILITY** - LESSOR assumes no responsibility for the inadequacy, quality or interruption in the utilities or services consumed or supplied in or to the Leased Premises, unless the same be due to LESSOR's inexcusable fault or gross negligence.

ARTICLE 8 - LESSEE'S ADDITIONAL COVENANTS

LESSEE agrees that, in addition to its other undertakings under this Contract, and unless it has obtained the prior written consent of LESSOR for the performance of an act or deed which is otherwise prohibited under this Contract, it will abide by the following:

8.1 **SUBLEASE AND TRANSFER OF RIGHTS** - It is expressly understood and agreed that the personal character of LESSEE and the nature of occupancy of the Leased Premises are special considerations for LESSOR's grant of this lease to LESSEE. Accordingly, the LESSEE shall not assign, sublet, or otherwise transfer any or all of its rights, interests, or obligations under this Agreement to any third party, without the written consent of the LESSOR obtained at least thirty (30) days prior to the intended assignment, sublease, or transfer and only upon the payment of a fee set by the LESSOR as part of its approval for any such assignment, transfer or sub-lease. No right, title or interest to, in and under this Contract or the Leased Premises shall be deemed conferred or vested in any person other than LESSEE. The LESSOR shall have the sole and absolute discretion to grant or deny any request by the LESSEE for the assignment, subletting, or transfer of this Lease Agreement. Such consent shall not be unreasonably withheld, delayed, or conditioned, but may be given or withheld by the LESSOR based on factors such as the financial capability, reputation, and suitability of the proposed assignee or sublessee, as well as the potential impact on the property and other tenants.

It is expressly understood that LESSEE has no goodwill or patronage rights over the Leased Premises and that such rights belong exclusively to LESSOR. LESSEE shall not sell or dispose of said goodwill or patronage rights to any third person or entity.

8.2 **MORTGAGE** - LESSEE shall not mortgage, encumber or create any security interest in and to the leasehold rights granted hereunder to LESSEE.

8.3 **INSPECTION PRIOR TO EXPIRY OF LEASE** - During the last three (3) calendar months immediately preceding the expiration of the term of this lease, LESSEE shall allow, during business hours and upon prior written notice, LESSOR's authorized representatives and prospective tenants to inspect the Leased Premises. During such period, LESSOR may exhibit, where it shall think fit, a notice offering the Leased Premises for lease, which LESSEE shall not conceal in any way.

8.4 **RETURN OF LEASED PREMISES** - LESSEE agrees to return and surrender the Leased Premises at the expiration of the term of this lease or at the termination of this lease in the same condition as it was found at the commencement of this lease, reasonable wear and tear and damage directly attributable to Force Majeure (as hereinafter defined) excepted, without any delay whatsoever, devoid of all occupants, furniture, articles and effects of any kind, other than the alterations, additions or improvements which LESSOR may decide to keep in accordance with Article 3.8 hereinabove.

LESSEE shall repair any damage caused to the Leased Premises which cannot be accounted for by reasonable wear and tear, or Force Majeure, and restore the Leased Premises to the condition it was found at the commencement of this lease to the satisfaction of LESSOR. All keys giving access to all parts of the Leased Premises and/or the Common Areas (as applicable) shall be returned to LESSOR, and all expenses incurred in removing from the Leased Premises or Building, the names, posters, signboards, decoration, or advertising matters relating to LESSEE, including any damage caused by such removal, shall be for the account of LESSEE.

8.5 **DAMAGES FOR HOLD-OVER** - If LESSEE fails to return the Leased Premises to LESSOR at the end of the term of this lease or at the termination of this lease, LESSEE shall pay LESSOR, as damages, a sum equal to thrice the rental to be paid by LESSEE to LESSOR for the period during which LESSEE shall retain possession of the Leased Premises. The exercise by LESSOR of its rights under this Article shall not be interpreted as a grant of permission to LESSEE to continue in possession of the Leased Premises beyond the term of this lease. LESSEE shall also be responsible to LESSOR for all damages which the latter may directly suffer by reason thereof and will indemnify LESSOR against any and all claims made by any succeeding lessee, resulting from the delay in delivering possession of the Leased Premises to such succeeding lessee, to the extent that such delay is occasioned by the failure of LESSEE to surrender the premises on time. LESSOR shall also be entitled to exercise the remedies specified in Article 12 hereof as well as all remedies granted by law.

ARTICLE 9 - REPRESENTATIONS AND WARRANTIES

9.1 **MUTUAL WARRANTIES** - LESSOR and LESSEE represent and warrant in favor of each other that:

(a) each has full power, authority and legal right to execute, deliver and perform this Contract and has taken all the necessary corporate action to authorize the foregoing;

(b) this Contract constitutes the legal, valid and binding obligation of LESSOR or LESSEE, enforceable in accordance with its terms; and

(c) the execution, delivery and performance of this Contract do not and will not violate any provision of, or result in a breach of or constitute a default under any law, regulation or judgment, or violate any agreement binding upon either of them or any of their property.

ARTICLE 10 - INDEMNITIES

10.1 **LIMITATIONS ON LIABILITY OF LESSOR** - LESSOR shall not be liable or responsible in any circumstance, whether tortuous or otherwise, for any damage or disturbance suffered, whether directly or indirectly, by LESSEE, whether personally or in respect of the Leased Premises or any contents therein, or by any of its employees, clients, customers or any other persons whomsoever. Without limiting the generality of the foregoing, LESSOR shall not be liable for:

(a) any loss, damage or injury sustained by LESSEE or any such other person or any of their properties, caused by or through any accident, happening or in any way owing to:

(i) any failure, poor quality, inadequacy, fluctuation, interruption, malfunction, explosion or suspension of public utility services, such as electricity, water, telephone, telex, facsimile, emergency power, whenever applicable, supplied to or intended for the Leased Premises or the Building;

(ii) any seepage, overflow or leakage of water from any pipe, drain or automatic sprinkler system or any part within the Building or the influx of rain water into the Leased Premises or the Building;

(iii) any activity of rats, pests or vermin in the Building;

(iv) any failure or breakage of glass in the Leased Premises or in the Building;

(v) any defect, mechanical breakdown, failure or need for repair, overhaul or any negligent or improper working or operation by any person whomsoever, of the facilities provided for the common use of the lessees of the Building or for LESSEE in respect of the Leased Premises;

(vi) Force Majeure, subject to the provisions of Article 11 hereunder;

(vii) any escape of fumes, smoke, fire or other substances from anywhere within the Building;

(viii) any escape of electric current from electric wiring or cable situated upon or in any way connected with the Building or any part thereof, or any vibration from or of any part of the Building or adjoining or neighboring premises.

(ix) any act, neglect or default of LESSEE or other lessees of the Building or of adjoining neighboring premises, or any of their respective employees, clients, guests or customers;

(x) any defective or damaged condition of the Leased Premises or Building unless the same was brought to the attention of LESSOR by LESSEE, and LESSOR failed to correct the damage or defect;

(xi) any violation by LESSEE or its officers, employees, representatives or guests, of the provisions hereof or the rules and regulations adopted by Association or LESSOR, or by any appropriate government agency in connection with the possession and maintenance of the Leased Premises by LESSEE and the conduct of business operations therein;

(xii) any damage resulting from LESSEE's inability to conduct its business because of a labor dispute, strike, or lockout of other lessees of LESSOR.

(b) the security or safekeeping of the Leased Premises or any person or property found therein, including without limitation all furniture, fixtures, goods, chattels, samples, personal effects, contents or any article delivered to or left in the Leased Premises.

10.2 **INDEMNIFICATION** - LESSEE shall hold free and harmless and keep LESSOR fully indemnified against all claims, actions, demands, actions and proceedings whatsoever made against LESSOR by any person whomsoever arising as a result of or in connection with the use and occupancy by LESSEE of the Leased Premises and against all costs and expenses incurred by LESSOR in respect of such claims, actions or demands. LESSEE shall indemnify LESSOR as applicable, for any loss or damage which may be done to the Leased Premises or any part thereof or to Common Areas or to any part of the Building, due to the fault or negligence of LESSEE, its employees, agents, customers, clients or guests.

10.3 **NON-ABATEMENT OF OBLIGATIONS** - In no event shall the payment of any amount due hereunder whether as rent, security deposit, advance rental Common Area Charges or utility charges abate or cease to be payable on account of the occurrence of any of the causes specified in Article 10.1, except to the extent permitted by Article 11.

ARTICLE 11 - FORCE MAJEURE AND OTHER DISTURBANCES

11.1 **OCCURRENCE OF FORCE MAJEURE** - LESSEE shall give LESSOR written notice of any damage caused to the Leased Premises by reason of Force Majeure, within five (5) working days from the occurrence thereof. If the Leased Premises are rendered inaccessible or destroyed or substantially damaged by Force Majeure, the damage shall

be repaired at the expense of LESSOR, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to LESSEE against LESSOR, except to the extent recognized under Article 11.2.

11.2 **OPTION TO RESCIND** - In the event that (i) the physical damage resulting from the Force Majeure renders the Leased Premises totally unfit for use or occupation for more than sixty (60) days, or (ii) the repairs required to rectify the damage resulting from Force Majeure and to render the Leased Premises fit for use and occupation are expected to last for more than ninety (90) days, or (iii) Force Majeure prevents LESSEE from conducting its business in the Leased Premises for a period of more than sixty (60) days, then either party with regard to (i) and (ii) and LESSEE with regard to (iii) shall have the right to rescind this Contract which shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission.

In no case shall any compensation or claim be allowed against LESSOR by reason of the interruption, annoyance or injury caused to LESSEE or its property arising from the rescission of this Contract or any interruption in the use or possession of the Leased Premises or the repair of any portion of the Building or the Leased Premises.

11.3 **STRIKES, LOCKOUTS AND OTHER THREATS** - In the event that (i) a picket line is established in the Leased Premises or in the vicinity thereof due to a labor dispute involving LESSEE or arising in any way from the conduct of LESSEE's business, or (ii) an activity is performed in the Leased Premises which, in the sole judgment of LESSOR, interferes with or affects the operations of LESSOR, or (iii) any event, accident or cause beyond the control of LESSOR threatens LESSOR's operations in the Building, the operations of the other lessees/occupants of the Building and the lives of LESSEE's employees, guests, customers or clients and the security of the Building itself, then LESSOR may, at its sole option, terminate this Contract by written notice to LESSEE, such termination to take effect immediately upon receipt of said notice. If LESSOR shall not elect to terminate this Contract, it may, in its sole discretion and by written notice, require LESSEE to pay for any additional cost LESSOR may incur in hiring security guards, maintaining the cleanliness of the Leased Premises or in contracting for such other services, including legal services and other costs of suits as may be required for the well-being, security and welfare of the other lessees in the Building. In the event that LESSEE is prevented from conducting its business in the Leased Premises due to a strike, lockout, labor dispute or any other analogous activity involving LESSOR or other lessees, or due to an accident or cause beyond the control of LESSOR (that is hazardous to the security of the Building such as but not limited to bomb threats), LESSEE hereby unconditionally relieves and releases LESSOR from any and all liabilities in connection with or arising out of such occurrence(s). LESSEE shall likewise continue to pay the Rent, its share in the Common Area Charges and all its other obligations under this Contract. This Article shall be without prejudice to the rights of either party to terminate this Contract pursuant to Article 11. 2.

ARTICLE 12 - TERMINATION AND ITS CONSEQUENCES

12.1 **EVENTS OF DEFAULT AND TERMINATION.** - LESSOR shall have the right to cancel or terminate this Contract without need of legal or judicial action or order upon the occurrence of any of the following events by giving written notice to LESSEE:

(a) LESSEE shall have failed to return and surrender the Leased Premises upon expiration of the term of this lease or upon the termination or cancellation of this lease;

(b) the Leased Premises shall be closed, deserted or unoccupied for a continuous period of five (5) calendar days;

(c) LESSEE shall fail to pay for at least one (1) month its share of public utility or Common Area Charges accruing in connection with or allocated to the Leased Premises or shall fail to pay the rent or any other amount due hereunder on the date specified herein for its payment;

(d) Failure to maintain for six (6) months in a calendar year Gross Sales sufficient to pay rent in excess of the Minimum Monthly Rent;

(e) Delay or failure to submit a monthly Gross Sales report on due date;

(f) Understatement of the Gross Sales or any misrepresentation or dishonesty in the invoicing or recording of LESSEE's sales transactions by LESSEE, its agents or employees;

(g) LESSEE fails to observe or perform any of the covenants provided hereunder or LESSEE commits a breach of any of its obligations and undertakings under this Contract, such as but not limited to use of the Leased Premises for any purpose other than as herein agreed upon, violation of any of the rules and regulations issued by LESSOR, Association or Property Manager of the Building, violation of any law, rule, regulation or ordinance of the national and/or city governments regarding the use, occupancy, security and sanitation of the Leased Premises, sublease or transfer of rights over Leased Premises without securing LESSOR's approval, failure to adopt a computerized point of sales and accounting duly approved by LESSOR, failure to preserve pertinent sales records and books of accounts for the required period of time pursuant to Article 4.3, failure to grant LESSOR access, during reasonable business hours, to all books of accounts, supporting invoices and other pertinent records that are reasonably necessary to determine accurately the basis of rentals; or failure to commence business operations in the Leased Premises within the period specified in **Annex "A"**; or failure to timely submit plans and specifications for the alteration of or addition to or improvement of the Leased Premises;

(h) any of LESSEE's representations and warranties as specified hereunder shall prove false in any material respect when made and LESSEE fails to rectify or remedy the breach within thirty (30) days from written demand of LESSOR;

(i) LESSEE's franchise shall have been revoked, if applicable;

(j) LESSEE (if the latter is a natural person) shall have died, or the juridical existence of LESSEE (when organized as a corporation or partnership) shall have ceased;

(k) The principal stockholder(s) or owner(s) of LESSEE (if organized as a corporation or partnership) on the date hereof shall have changed or shall have ceased to own or control a majority of shares or interest in LESSEE, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise;

(l) LESSEE shall have become insolvent or be unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law; or

(m) the occurrence of any other event which entitles LESSOR to exercise its right to cancel or terminate this lease pursuant to other provisions in this Contract other than Articles 11.2, 11.3 and 13.1, **Annex "A"** and under the law.

12.2 **CONSEQUENCES OF DEFAULT** - Upon the occurrence of any of the foregoing events specified in Article 12.1, LESSOR shall be entitled to exercise any of the following remedies, alternatively or cumulatively at its discretion, in conjunction with or separately from any other right or remedy granted hereunder or under the law, without need for any legal or judicial action or order:

(a) LESSOR is hereby constituted and appointed as LESSEE's attorney-in-fact with the following powers and rights upon the occurrence of any events specified in Article 12.1: to (i) to post cashier/s to the Leased Premises at any time and without notice to the LESSEE with full power and authority to collect the proceeds of sale of merchandise, goods or services, sold or rendered of the LESSEE. The LESSOR shall apply any amount collected as follows: payment for the salaries and wages and any other expenses of the cashier and to any and all outstanding obligations of the LESSEE; (ii) open, enter, padlock, secure, enclose or fence the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises (iii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the Building or the Leased Premises, (iv) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed their from without defacing or injuring any ceiling, floor, wall or any portion of the Building or Leased Premises, place any of the same in storage and charge LESSEE the corresponding storage fees therefor; (v) in case LESSEE fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to LESSOR within thirty (30) days from the date LESSOR takes possession of the Leased Premises or of LESSEE's personal properties, to dispose of said properties and in public sale and to apply the proceeds thereof to the payment of whatever liability and/or indebtedness LESSEE may have to LESSOR, including expenses incurred by LESSOR in connection with such sale, without prejudice to the rights of LESSOR to collect the deficiency, if any. The appointment of LESSOR as attorney-in-fact of LESSEE shall be considered coupled with interest and, hence, shall be irrevocable.

(b) LESSOR shall be entitled to collect from LESSEE, and LESSEE shall continue to be liable for the rental for the unexpired period of the lease term and the penalty and interest charges due thereon (as applicable). The entire Security Deposit constituted under Article 5.2 and any Advance Rental shall be forfeited in favor of LESSOR, and LESSEE shall continue to be liable for all amounts which shall be due from it as provided hereunder. All these amounts shall be due to LESSOR in addition to whatever damages, whether actual or consequential, which may be due under Articles 8.5 hereof as well as the damages LESSOR may incur or suffer arising from the termination of this Contract. In no case shall any amount due hereunder from LESSEE be applied against the Security Deposit, it being understood that the entire amount thereof shall accrue by virtue of forfeiture in favor of LESSOR.

(c) LESSOR shall be subrogated to the rights of LESSEE as sublessor, if LESSEE has been allowed to lease the Leased Premises to a third party.

(d) Should LESSOR be compelled to seek judicial relief against LESSEE or any of its employees, agents or representatives, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to twenty (20%) percent of the amount claimed in the complaint, as attorney's fees (with a minimum of ₱50,000.00), aside from the costs of the litigation and other expenses which the law may entitle LESSOR to recover from LESSEE.

12.3 **PRE-TERMINATION** - In the event LESSEE opts to terminate this Contract prior to the expiration of the lease term, LESSOR should be provided with a written notice of such intent at least One Hundred Eighty (180) days prior to the intended date of pre-termination. LESSEE shall be liable to pay LESSOR a sum equivalent to the rentals for the remaining portion of the lease term, as liquidated damages, in addition to forfeiture of the security deposit. Any rentals paid in advance shall be applied against the rentals for the remaining period of the lease term.

ARTICLE 13 - GENERAL PROVISIONS

13.1 **EXPROPRIATION** - In the event that the Leased Premises or any part of the Building is expropriated during the period of this lease by any instrumentality of the Government or by any other entity with authority to exercise such power, either party may rescind this Contract upon giving the other party thirty (30) days prior written notice thereof, without incurring any liability or providing the other party with any basis for an action for damages. In case of such expropriation, LESSEE hereby unconditionally relieves and releases LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings and agrees that the compensation to be received by LESSOR shall belong to it wholly as owner of the Leased Premises, without prejudice to whatever recourse LESSEE may have against the expropriating entity on account of damage done or caused to it or its property by reason of such expropriation. Upon such expropriation, LESSOR shall return to LESSEE the security deposit and advance rental given under this Contract, after deducting the payment for rentals, utilities and other amounts which remain due and owing to LESSOR.

13.2 **NON-WAIVER** - The failure of any party to insist upon a strict performance of any of the terms, conditions and covenants hereof shall not be deemed a relinquishment or waiver of such terms, conditions or covenants granted to such party, nor shall it be construed as a condonation of any subsequent breach or default of the terms, conditions and covenants hereof, which terms, conditions and covenants shall continue to be in full force and effect. The subsequent acceptance of rent by LESSOR shall not be deemed to be a waiver of any prior breach by LESSEE of any term, covenant or condition for this lease, regardless of LESSOR's knowledge of such prior breach at the time of acceptance of such rent. No waiver by LESSOR of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by LESSOR.

13.3 **NOTICE** - Where demand or notice is required to be given under this Contract, notice sent to LESSEE at the Leased Premises or at the address specified above by registered mail or by personal delivery shall be considered sufficient compliance with the requirement of notice or demand. All demands or notices required under this Contract to be made to LESSEE shall also be sufficient if posted in a conspicuous place at the Leased Premises.

13.4 **NON-REGISTRATION OF LEASE** – The parties hereto agree that this Contract shall not be registered with the office of the Register of Deeds, but in the event of sale, transfer or disposition of the Leased Premises, LESSOR

binds itself to require the transferee or vendee to respect and abide by all the terms and conditions of this Contract.

13.5. **ASSIGNMENT OF RIGHTS** – The LESSOR shall have the right to assign or otherwise transfer any or all of its rights, interests, or obligations under this Agreement or sell or otherwise transfer ownership of the leased property to its affiliates or subsidiaries, including that which may arise as a result of a merger, consolidation, or otherwise, or to any third party by providing the LESSEE with a written notice of such intention at least fifteen (15) days prior to the date of the assignment, transfer, or sale. The LESSEE agrees to cooperate with the LESSOR's reasonable requests to facilitate the assignment, transfer, or sale process, including granting access to the property and to relevant information and documentation. In the event that the LESSOR successfully assigns or transfers this Agreement or sells the leased property during the term of this Lease Agreement, the LESSEE acknowledges that this Agreement shall continue in full force and effect with the new LESSOR or owner, who shall assume all rights, obligations, and responsibilities of the LESSOR under this Agreement.

13.6 **ALTERATION/MODIFICATION** – LESSOR reserves the right to alter or modify the use of the other leasable areas in the Building and/or surrounding the Leased Premises, notwithstanding any other provisions herein to the contrary.

13.7 **NON-LIABILITY FOR OBSTRUCTION** –LESSOR shall not be liable for any obstruction and/or damages to LESSEE by virtue of future constructions of incoming tenants/occupants of the Building. However, LESSOR shall exert its best efforts to implement and enforce construction rules and regulations for the Leased Premises that shall prevent any such obstruction.

13.8 **LAW AND VENUE APPLICABLE** - This Contract shall be construed, interpreted and governed by the laws of the Philippines. Each party irrevocably submits exclusively to the jurisdiction of the courts in Makati for the purpose of enforcing any right or obligation under or arising out of this Contract.

13.9 **DATA SHARING TERMS AND CONDITIONS**

Capitalized terms used herein shall have the meanings set forth in the Data Privacy Act and its Implementing Rules and Regulations.

"Disclosing Party" means a party that discloses Personal Information under this Agreement, while "Receiving Party" means a party that receives Personal Information under this Agreement.

13.9.1 The Receiving Party acknowledges and agrees that, in the course of its engagement with the Disclosing Party, the Receiving Party may receive or have access to Personal Information. The Receiving Party shall comply with the terms and conditions set forth in this Contract in its Processing of such Personal Information and shall be responsible for any Processing and disclosure of Personal Information under its control or in its possession. The Receiving Party shall be responsible for, and remain liable to the Disclosing Party for the acts or omissions of all Authorized Persons concerning the treatment of Personal Information as if they were the Receiving Party's own acts or omissions.

13.9.2 The Receiving Party agrees and covenants that it shall:

13.9.2.a Keep and maintain all Personal Information in strict confidence, using such degree of care as is appropriate to avoid unauthorized Processing, access or disclosure;

13.9.2.b Use Personal Information solely and exclusively for the purposes for which the Personal Information, or access to it, is provided pursuant to the terms and conditions of the Contract, and

13.9.2.c not, directly or indirectly, disclose Personal Information to any person other than its Authorized Persons, without prior written consent from the Disclosing Party unless and to the extent required by government authorities or judicial processes, in both cases, the Receiving Party shall (i) notify the Receiving Party before such disclosure; and (ii) be responsible for and remain liable to the Disclosing Party for the acts or omissions of the unauthorized persons concerning the treatment of such Personal Information as if they were the Receiving Party's own acts or omissions.

13.9.3 The Receiving Party represents and warrants that its Processing and disclosure of Personal Information (solely according to the purpose of this Agreement) does and will comply with the Data Privacy Act of 2012 (DPA) and the Implementing Rules and Regulations (IRR), as well as all other applicable regulations and directives.

13.9.4 Without limiting the Receiving Party's obligations, the Receiving Party shall implement administrative, physical, and technical safeguards to protect Personal Information that are no less rigorous than accepted industry practices, or other applicable industry standards for information security, and shall ensure that all such safeguards, including the manner in which Personal Information is Processed, comply with applicable data protection and privacy laws, as well as the terms and conditions of this Contract.

13.9.5 The Receiving Party shall notify the Disclosing Party of a Security Breach as soon as practicable, but no later than twenty-four (24) hours after the Receiving Party becomes aware of it.

13.9.6 Immediately following the Receiving Party's notification to the Disclosing Party of a Security Breach, the parties shall coordinate with each other to investigate the Security Breach. The Receiving Party agrees to fully cooperate with the Disclosing Party, including without limitation,

13.9.6.a providing the Disclosing Party with physical access to the facilities and operations affected; and

13.9.6.b making available all relevant records, logs, files, data reporting and other materials required to comply with the DPA, the IRR, regulation, industry standards or as otherwise reasonably required by the Disclosing Party.

13.9.7 The Receiving Party shall immediately remedy any Security Breach and prevent any Security Breach at the Receiving Party's sole expense in accordance with the DPA, the IRR, regulations, and standards. The Receiving Party agrees that it shall not inform any third party of any Security Breach affecting the Disclosing Party without first notifying the

Disclosing Party. In the event of any Security Breach, the Receiving Party shall also put in place measures and safeguards to prevent a recurrence of any such Security Breach.

13.9.8 At any time during the term of the Contract at the Disclosing Party's written request or upon the termination or expiration of the Contract for any reason, the Receiving Party shall, and shall instruct all Authorized Persons to, promptly return to the Disclosing Party all copies, whether in written, electronic or other form or media, of Personal Information in its possession or the possession of such Authorized Persons, or securely dispose of all such copies, and certify in writing to the Disclosing Party that such Personal Information has been returned to the Disclosing Party or disposed of securely.

13.10 **ENTIRE AGREEMENT** - This Contract constitutes the complete understanding between the parties with respect to the subject matter hereof and supersedes any prior expression of intent, representation or warranty with respect to this transaction. LESSOR shall not be bound by any stipulations, representations, agreements or promises, oral or otherwise not contained in this Contract. This Contract may be amended but only with an instrument in writing signed by the parties.

13.11 **ADDITIONAL TERMS AND CONDITIONS** - This lease shall be subject to the additional terms and conditions specified in **Annex "A"**. All the Annexes of this Contract constitute integral parts hereof.

13.12 **SEVERABILITY** - If any one or more of the provisions of this Contract is declared invalid or unenforceable in any respect under any applicable law, the validity, legality or enforceability of the remaining provisions contained herein shall not in any way be affected or impaired.

13.13 **CONFIDENTIALITY** - The parties agree that this lease and the Contract of Lease and the terms and conditions thereof shall be kept confidential and shall not be disclosed or released to any person without the prior written consent of the other party.

IN WITNESS WHEREOF, LESSEE and LESSOR have caused these presents to be signed on the date and at the place above written.

MEGAWORLD CORPORATION LESSOR	**FAMILY TIMES FOODS, INC.** LESSEE
By:	By:
EMERLE ANNE P. MAGSINO Senior Manager II for AR/Rental Group	**ADRIAN P. DIMACALI** Human Resources Manager and Legal Counsel

Signed in the Presence of:

_____ _____

REPUBLIC OF THE PHILIPPINES)
)S.S.

A C K N O W L E D G M E N T

BEFORE ME, a Notary Public for and in _____ on this _____, personally appeared the following parties:

Name	**Competent Evidence of Identity**	**Date/Place of Issue**
Megaworld Corporation Represented by: Emerle Anne P. Magsino	TIN: 000-477-103-000 TIN: 238-845-031-000	
Family Times Foods, Inc. Represented by: Adrian P. Dimacali	TIN: 008-300-100-000 CRN – 0111-0777304-8	

Known to me and to me known to be the same persons who executed the foregoing document, consisting of twelve (12) pages, including this page where this Acknowledgment is written, but excluding the annexes and attachments thereto, and that they acknowledged to me that the same is their voluntary act and deed and that of the corporations herein represented. This document is a Contract of Lease over a commercial space in Uptown Place Mall, Uptown Bonifacio, Taguig City.

WITNESS my hand and seal on the date and at the place first above written.

NOTARY PUBLIC

Doc. No.:_____;
Page No.:_____;
Book No.:_____;
Series of 2025

ESSENTIAL PROVISIONS

LESSOR	MEGAWORLD CORPORATION
LESSEE	FAMILY TIMES FOODS, INC.
BUSINESS/TRADE NAME	CAFÉ MARY GRACE or as per DTI registration to be submitted by the LESSEE.
LEASED PREMISES	Fourth Floor – Unit D22, Uptown Place Mall, Uptown Bonifacio, Taguig City.
LEASABLE AREA	110.55 square meters, inclusive of undivided interest, if any, in the limited Common Areas of the floor in which the Leased Premises are located.
LEASE TERM	Commencing on 01 August 2025 and terminating on 31 July 2027.
NATURE OF BUSINESS	A first-class bakery and café. Merchandise mix to be carried in the Leased Premises shall be subject to the approval of the LESSOR.
MONTHLY RATE	a) **Five percent (5%)** of the Monthly Gross Sales plus a Monthly Base Rate of **PESOS: TWO THOUSAND ONE HUNDRED FORTY EIGHT & 47/100 (P2,148.47)** per square meter of the Leasable Area (collectively referred herein as "Percentage Rent"); or b) a Minimum Monthly Rate per square meter of the Leasable Area of **PESOS: TWO THOUSAND FIVE HUNDRED THIRTY NINE & 10/100 (P2,539.10)** ("Minimum Monthly Rent"), whichever is higher. The Monthly Rate is exclusive of Value Added Tax (VAT), CUSA/Common Area Charges and other Utilities, which shall be for the account of the LESSEE.
ESCALATION RATE	The Monthly Base Rate and Minimum Monthly Rate shall be escalated at the rate of **ten percent (10%)** effective 01 August 2026, as follows:

Effective Date	Escalation Rate	Base Monthly Rate per sqm.	Minimum Monthly Rate per sqm.
08/01/2025	-	P2,148.47	P2,539.10
08/01/2026	10.00%	P2,363.31	P2,793.01

TABLE OF RENTALS (Area: 110.55 sqm.) Based on the Minimum Monthly Rate

A	B	C	D (C X 12%)	E (C+D)
Period Covered	**Minimum Monthly Rate per sqm.**	**Minimum Monthly Rent**	**12% VAT (To be paid by LESSEE to LESSOR and remitted by LESSOR to BIR)**	**Minimum Amount to be Paid per Month by LESSEE to LESSOR**
08/01/2025 to 07/31/2026	2,539.10	280,697.51	33,683.70	314,381.21
08/01/2026 to 07/31/2027	2,793.01	308,767.26	37,052.07	345,819.33

VALUE ADDED TAX	The tax rate is subject to the law prevailing at the time of payment. Should the VAT rate increase during the term of this Contract, the amount as stipulated in Column C in the Table of Rentals above, which is the minimum amount to be received by the LESSOR by virtue of this agreement shall not be reduced.
MANNER OF PAYMENT	The Minimum Monthly Rent shall be liquidated and paid at the business address of LESSOR or its assigns without necessity of demand or collection, on or before the fifth (5th) calendar day of the month to which the rent corresponds. Any rentals due LESSOR in excess of the Minimum Monthly Rent shall be liquidated and paid at the business address of the LESSOR without the necessity of demand or collection on or before the fifth (5th) calendar day of the following month. The rentals shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of the LESSOR. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by the LESSOR.
SECURITY DEPOSIT	**PESOS: ONE MILLION SIX HUNDRED EIGHTY FOUR THOUSAND ONE HUNDRED EIGHTY FIVE & 03/100 (P1,684,185.03)** or equivalent to Minimum Rent for six (6) months exclusive of VAT, based on the rate applicable on the first year of the Lease Term. The Security Deposit remitted by the LESSEE to the LESSOR under the previous Agreement amounting to **PESOS: ONE MILLION FIVE HUNDRED THIRTY ONE THOUSAND SEVENTY FIVE & 49/100 (P1,531,075.49)** shall be carried over and credited to this Contract of Lease. The balance amounting to **PESOS: ONE HUNDRED FIFTY THREE THOUSAND ONE HUNDRED NINE & 54/100 (P153,109.54)** shall be payable on or before signing of this Contract of Lease.

The Security Deposit shall be increased correspondingly as and when the rent is automatically increased annually. The additional Security Deposit shall be remitted to LESSOR thirty (30) days before the onset of a new year under the Lease Term.

The increases to the Security Deposit shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of the LESSOR. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by the LESSOR. The ADA may, at the option of the Lessor, be considered as a mode of payment with respect to any portion of the initial Security Deposit which remains outstanding after its due date.

CONSTRUCTION BOND

A cash bond equivalent to one (1) month Minimum Rent payable prior to start of construction to answer for all violations or non-compliance of any guidelines, requirements and deviations from the approved plans. Said bond shall be refunded upon issuance of Final Clearance to Operate. The Construction Bond shall be payable directly to **UPTOWN COMMERCIAL CENTER ADMINISTRATION, INC.**

Any deficiencies should be corrected within sixty (60) days from start of operations. Otherwise, said bond shall be forfeited. Correction of deficiencies will then be undertaken by the LESSOR and charged against LESSEE'S account.

CONSTRUCTION PLANS

Complete construction plans (as specified in the construction guidelines) must be submitted to LESSOR for approval prior to construction.

Meanwhile, LESSEE shall submit an exterior perspective (15" x 20" illustration board) for LESSOR'S initial review. For food outlets, a floor plan will be required showing dining area and kitchen layout.

BOARD UP-TARPAULIN

Lessee shall be required to put up board-up /tarpaulin based on the size and type of store frontage until four (4) days after the approval of their artwork. Should the lessee fail to deliver said board-up/tarpaulin on the given deadline, Lessor will produce board-up and will be charged to the lessee.

POINT OF SALES SYSTEM

In addition to the requirements of Article 4.3 of the Contract of Lease, the LESSEE shall, at its own expense, install a Point of Sale (POS) system, which must be compatible with the LESSOR'S centralized POS System before the commencement of operations in the Leased Premises. Likewise, the LESSEE shall execute with its POS Provider who must be accredited or authorized by the LESSOR, a monthly maintenance contract prior to the commencement of operations in the Leased Premises and shall provide the LESSOR with a copy of such maintenance contract. The LESSEE must also install on the POS System an anti-virus software or program acceptable to the LESSOR prior to the commencement of operations in the Leased Premises. The LESSEE shall be required to update the maintenance program and anti virus software of its POS System to respond to the ever changing trends and threats in technology and, in installing and maintaining the POS System and anti-virus software or program, the LESSEE shall be required to comply with LESSOR's network security policies.

The LESSOR shall not issue to the LESSEE a Clearance to Operate should the latter fail, before the commencement of operations in the Leased Premises, to install a POS System, provide LESSOR a copy of the monthly maintenance agreement, or install properly anti-virus software on the POS System.

Failure of the LESSEE to maintain its POS System, including updating of Anti-Virus software, shall be considered an event of default under Article 12.1 of the Contract of Lease and shall give the LESSOR the right to exercise the remedies provided therein.

LESSEE hereby undertakes to indemnify the LESSOR for any damage caused to the latter's centralized POS system or to other tenants' POS system connected therewith when such damage arises from or is connected with LESSEE's failure to: (a) maintain its own POS system, or (b) install or update its Anti-virus software, or (c) comply with LESSOR's network security policies.

ADDITIONAL GROUNDS FOR CANCELLATION OF LEASE

Should LESSEE commit the following violations, LESSOR shall have the right to cancel this lease agreement and forfeit in its favor all deposits and amounts received, in addition to the remedies available to LESSOR under Article 12.2 of the Contract of Lease.

LESSOR shall then have the right to offer the space to a third party.

a) Failure to submit complete Construction Plans fourteen (14) days after Turn-Over of the Leased Premises.
b) Failure to commence construction within seven (7) days from written approval of Construction Plans.

OTHER MONTHLY CHARGES	Payable directly to **UPTOWN COMMERCIAL CENTER ADMINISTRATION, INC.** unless otherwise directed in writing by the LESSOR. These charges are subject to periodic review and adjustment by the LESSOR or Building Administration, with or without prior notice to the LESSEE, based on the prevailing costs.
• **COMMON AREA CHARGES**	Currently at **PESOS: TWO HUNDRED (P200.00)** per square meter of the Leasable Area per month. The Common Area Charges is exclusive of Value Added Tax which shall be for the account of the LESSEE.
• **AIRCON**	To be provided by the Lessee.
• **UTILITIES (ELECTRICITY, WATER, LPG, ETC.)**	Based on actual charges; Lessor's rate shall be applied.
• **OTHER CHARGES**	Other charges like pest control and bio-augmentation shall be based on rate charged by the Building Administration.
POLICIES	LESSEE agrees to abide by the policies and procedures implemented and to be implemented by the Building Administration. Such policies and procedures are deemed incorporated and are made an integral part of this Contract.
MARKETING DUES	LESSEE shall be required to pay annual marketing dues in an amount to be determined by the LESSOR based on the size and type of the store/establishment. The Marketing Dues, and the increases thereto, shall be paid by means of an Automatic Debit Arrangement (ADA) to be entered into by LESSEE with any of the preferred bank partners of the LESSOR. Payment through ADA shall not produce the effect of payment until the proceeds thereof has been actually received by the LESSOR.
MARKETING PROGRAMS	LESSEE shall automatically become a member of and participate and be included in all marketing and advertising programs, efforts, promotions and activities of the Lessor and/or its subsidiaries, affiliates, parent company or related companies that may be implemented or undertaken during the term of lease, including but not limited to any merchant card program or other promo cards or reward program, mall promotions, sale(s) activity, special discounts and promotions, etc., and shall comply with and actively participate in the implementation of all such marketing and advertising efforts. The terms and conditions for Lessee's membership and participation in any such marketing and advertising program shall be set by Lessor prior to implementation and Lessee shall sign and execute Memorandum of Agreement or applicable contract or agreement governing its membership and participation in such program or activity. Failure to comply shall be considered default of Lessee's obligation under the lease.
A/C UNIT & INSTALLATION OF ADDITIONAL ELECTRICAL OUTLETS / PROVISIONS	The LESSEE shall provide, at its sole expense, its own air conditioning unit(s) in the Leased Premises as well as the requisite connection for the installation thereof, provided that, the LESSEE shall first obtain the prior written consent and approval of the LESSOR as regards the type, voltage, capacity and number of air conditioning unit(s) to be installed by the LESSEE in the Leased Premises. The LESSEE shall bear all the electrical charges incurred in the operations of its air conditioning system in the Leased Premises. In case the LESSEE requires the installation of additional electrical outlets for electrical appliances and provisions in addition to the provisions provided by LESSOR on Hand-Over Date, the LESSEE shall first submit to the LESSOR for approval a plan showing such additional outlets/provisions. The LESSOR shall approve such plan only upon finding that the resulting additional electrical load shall be within the electrical load capacity of the Building. The LESSEE shall only engage the services of a licensed electrician duly approved by the LESSOR. The LESSEE shall further comply with the requirements of the Bureau of Fire Protection, the Municipal Engineer's Office, and such other responsible national and local government. The LESSEE shall make a declaration of the maximum electrical load in the Unit and periodically submit to the LESSOR a list of all electrical fixtures, appliances, equipment and such other facilities that the LESSEE uses in the Leased Premises.
INTEREST AND PENALTY	LESSEE shall pay to LESSOR interest on any amount due under this Contract at the rate of **two percent (2%)** per month, or at the maximum prevailing interest rate allowed by law as may be determined by LESSOR, at the time the obligation is due, whichever is higher, to be computed from the date of delinquency until such amount is paid in full, plus a penalty of **three percent (3%)** per month, to be computed from the date of delinquency until such amount is paid in full.

BUSINESS HOURS

LESSEE agrees to open one hundred percent (100%) of the Leased Premises for business seven (7) days a week, during business hours fixed by LESSOR, except when prohibited by law or ordinance or when on account of custom or religious observance businesses are closed or prevented from opening by Force Majeure. The disruption of business on account of LESSEE's non-payment of electric bills on direct feed from the Manila Electric Company (MERALCO) shall not be considered as Force Majeure.

Without prejudice to other remedies that may be available to LESSOR in this Lease Contract, LESSEE shall be liable for a penalty of ten pesos (₱10.00) per square meter per day for such unauthorized closure or non-operation. LESSEE shall likewise be liable for a penalty of two pesos (₱2.00) per sixty (60) minutes per square meter of unexcused late opening and/or early closing of business operations accumulated in month's time. Computation shall be done cumulatively and a fraction of any hour shall be considered a whole hour.

LESSEE shall, moreover, keep well-lighted during such reasonable evening hours as shall from time to time be required by LESSOR, the display windows and signs, if any, in the Leased Premises, unless prevented by Force Majeure.

LESSEE shall maintain at all times in the Leased Premises, sufficient merchandise inventories and adequate personnel to serve its customers and shall exert its best efforts and apply itself to the extent reasonably necessary to achieve maximum business returns and help maintain a high business reputation for the Building. LESSEE shall stock in the Leased Premises only such merchandise as LESSEE intends to offer for sale at retail at, in, from or upon the Leased Premises. This shall not, however, preclude the bona five transfer of merchandise to and from LESSEE's other stores in the Metro Manila area.

DOCUMENTARY STAMP TAX ("DST")

DST due on the execution of the Contract shall be for the account of the LESSEE, and shall be paid by the LESSEE upon the execution of the Contract, and within the statutory deadline for payment of the DST, without need of further notice or demand from LESSOR.

The LESSEE shall provide the LESSOR with copies of the DST Return as filed with the Bureau of Internal Revenue, and proof of payment of the DST, not later than five (5) days after the statutory deadline for payment of the DST. All penalties and charges arising from the LESSEE's failure to promptly pay the DST shall be for the sole account and responsibility of the LESSEE.

OTHER CONDITIONS – PURCHASE AND SALE OF REQUIRED PRODUCTS

1. LESSEE shall only sell bottled water and ice supplied by the property manager of the LESSOR and is required to purchase its bottled water and ice requirements directly from, and under the terms of, the property manager of the LESSOR.

2. LESSEE is required to purchase its soft drink/soda drink requirements from the property manager of the LESSOR.

3. LESSEE shall be required to offer for sale the products of the affiliate or related companies of the LESSOR. LESSOR reserves the right to require LESSEE to only sell such products, including those of its affiliate or related companies, to the exclusion of other brands/products.

-End-